Budget 2012-13 estimated a growth of **32.0** per cent over 2011-12 in non-tax revenue (mainly on account of estimated receipts of Rs. 40,000 crore from the telecom spectrum auction). As the 2G telecom spectrum auction elicited ***lukewarm response*** on account of the high reserve price in the current year, the government has revised the reserve price downwards. As such, the proceeds from this component are as yet an important risk to the actual fiscal outcome for 2012-13. The other main component is *dividends* and *profits* from PSUs which also remained sluggish.

Non-Debt Capital Receipts

Recoveries of loans and disinvestment are the two key receipts of the non-debt capital variety which have remained subdued through the past two years – as per the latest *Economic Survey 2012-13.* As against Rs. 16,897 crore in 2011-12, Budget 2012-13 had placed recoveries of loans at Rs. 11,650 crore. The *12th Finance Commission's* recommendation against loan intermediation from the centre to states, coupled with the fact that such recoveries of loan have become a minor source in the receipts side has resulted in *disinvestment* assuming greater importance.

As against Rs. 40,000 crore budgeted under disinvestment in 2011-12, actual receipts were Rs. 15,622 crore on account of the subdued financial market conditions. The Budget for 2012-13 has estimated that Rs. 30,000 crore would accrue in 2012- 3. In April-December 2012, receipts under this head were Rs. 8,178 crore.

The government has taken several steps to expedite the process of disinvestment. The Cabinet Committee on Economic Affairs has approved disinvestment in some of the big profit-making PSUs recently together a proposal of Exchange-Traded Fund (ETF) for the stocks of the listed PSUs.

Expenditure Trends

Given the large unmet minimum needs of development, and factoring in the resource availability, the annual budgets estimate the expenditure to be incurred for the year with due consideration to the level of fiscal deficit that is required under the FRBM mandate. Rapid reduction in expenditure as part of fiscal consolidation is constrained by the level of committed